

UNDERSTANDING GLOBAL BUSINESS ENVIRONMENT

An abstract 3D graphic featuring various colorful geometric shapes (cubes, cylinders, spheres) and lines in shades of blue, green, and yellow, creating a dynamic and modern visual effect.

Dr. Kwangsoo Kim
Konkuk University



AGENDA

Importance of Understanding GBE

Concept of Globalization

Trend of Globalization

Impact of Globalization

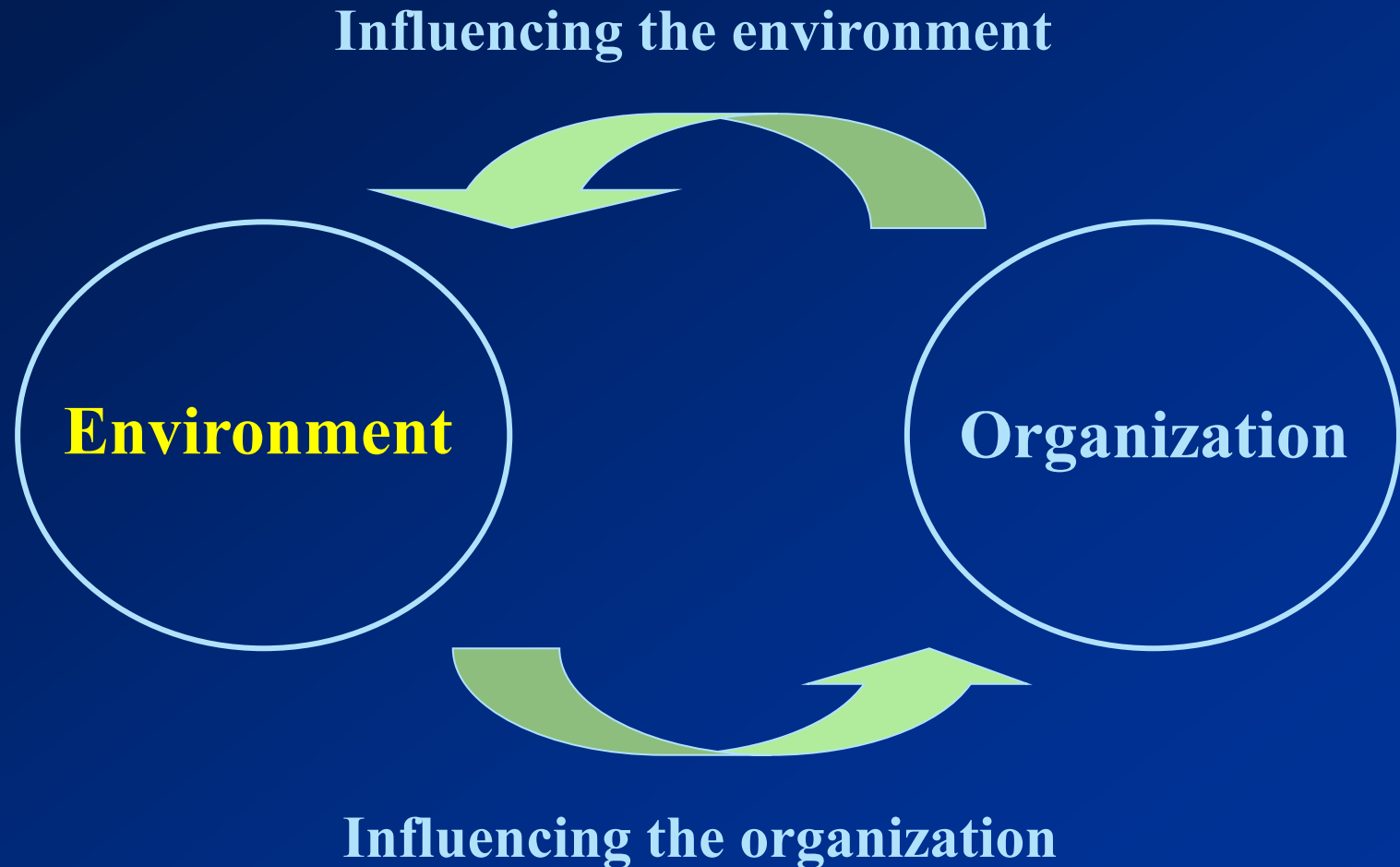
Implications and Conclusions



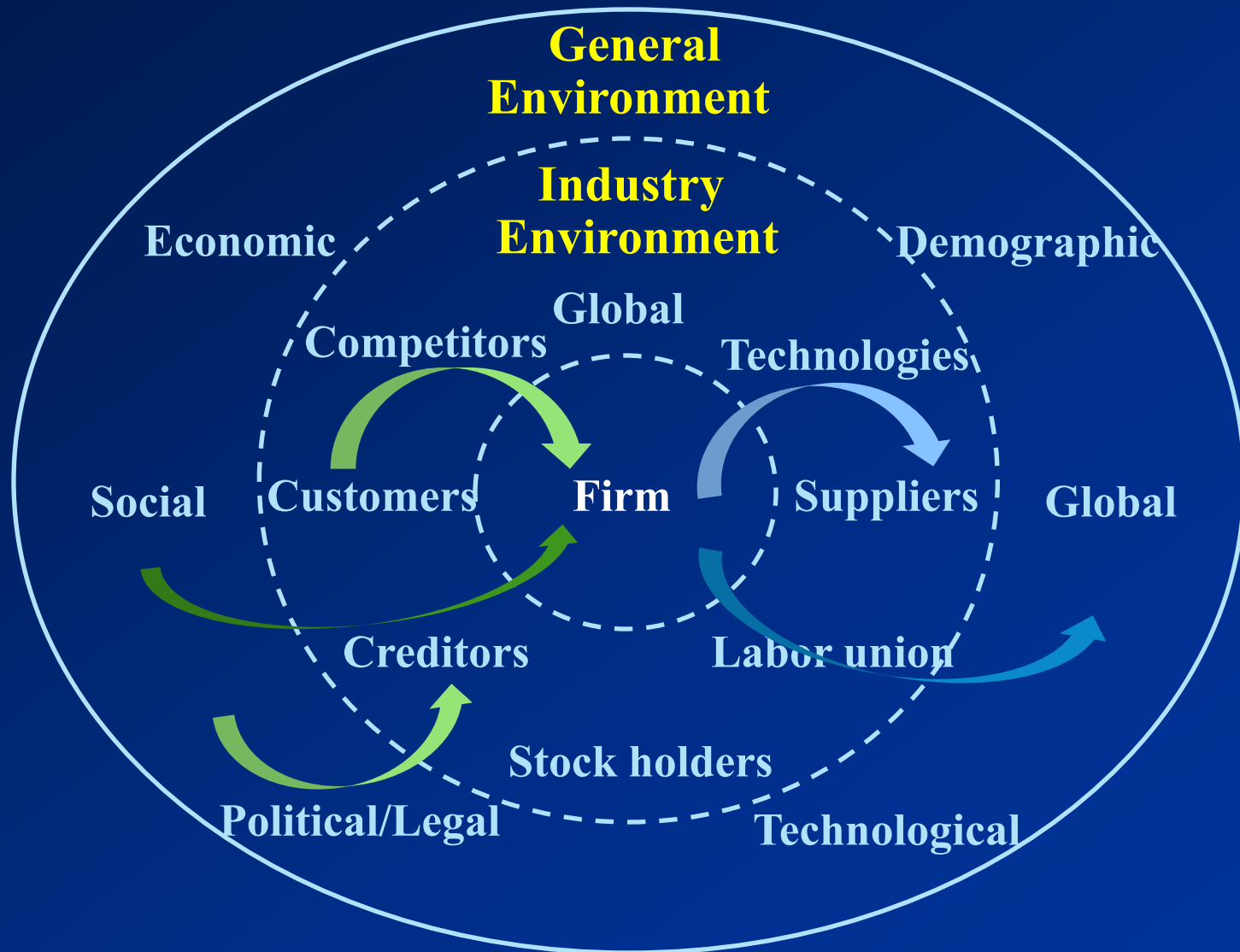
Importance of Understanding Global Business Environment



ENVIRONMENT – ORGANIZATION RELATIONSHIPS



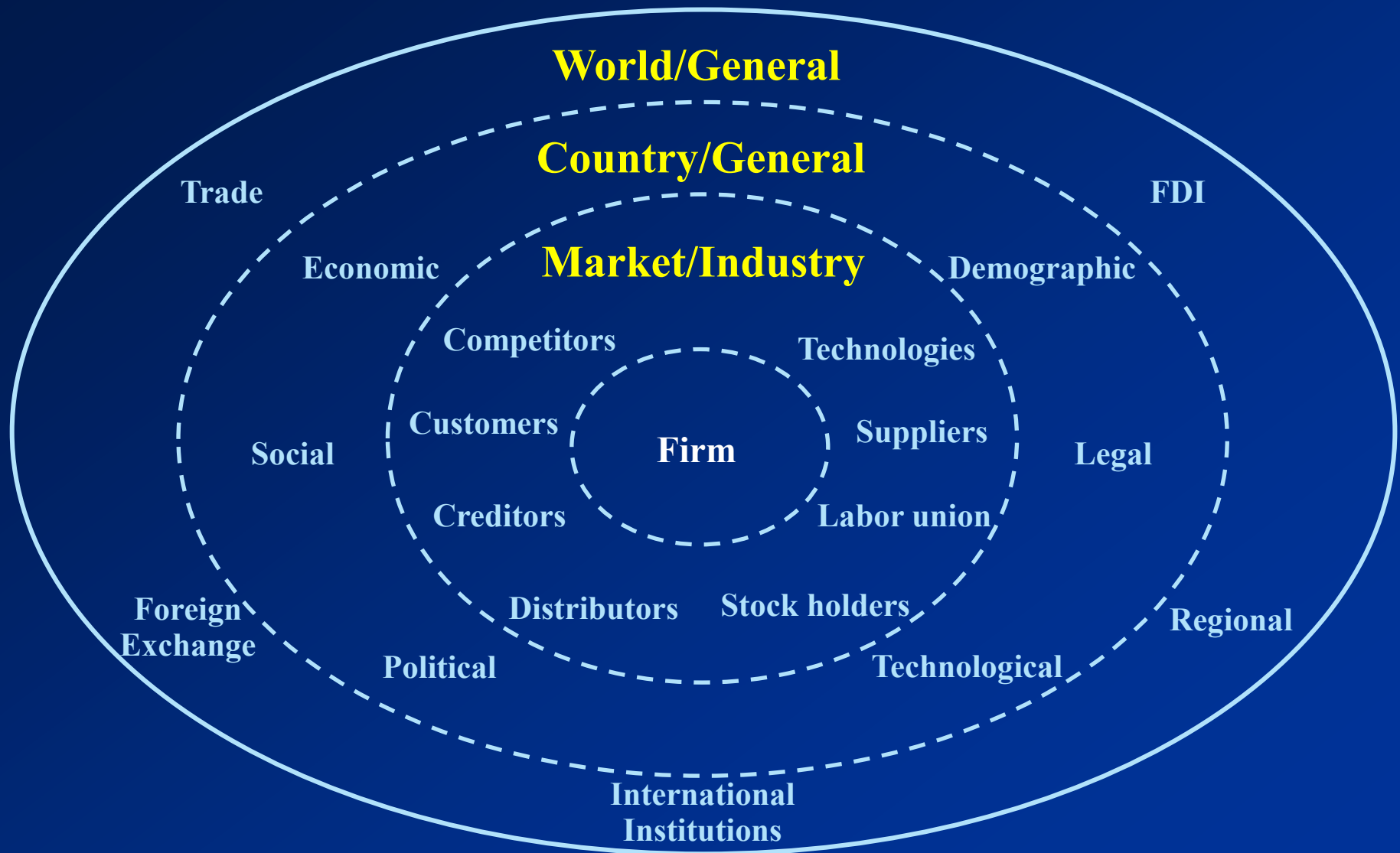
ENVIRONMENT – ORGANIZATION RELATIONSHIPS (continued)



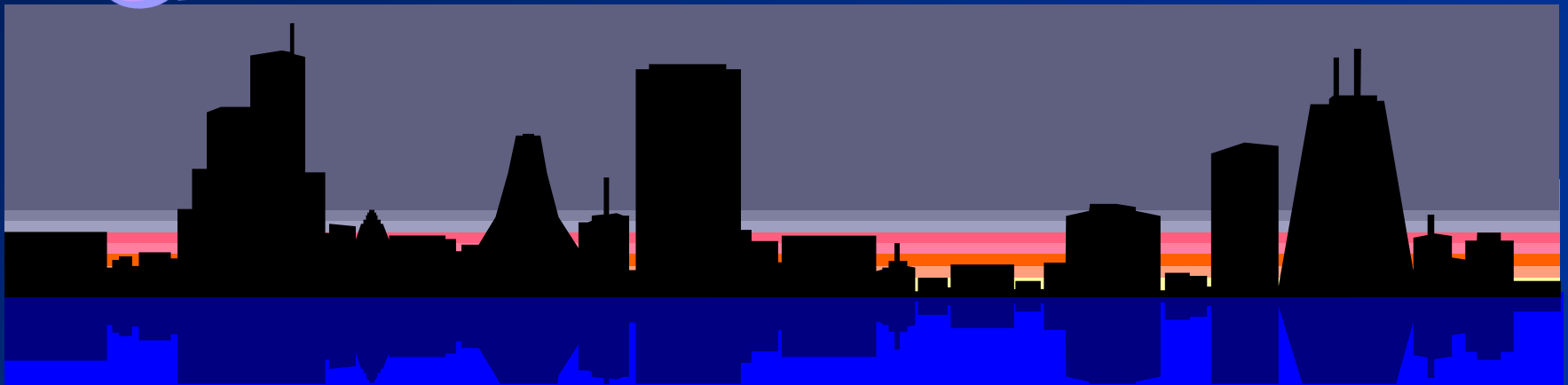
MODERN MANAGEMENT FRAMEWORK



COMPONENTS OF GLOBAL BUSINESS ENVIRONMENT



CONCEPT OF GLOBALIZATION





DEFINITION

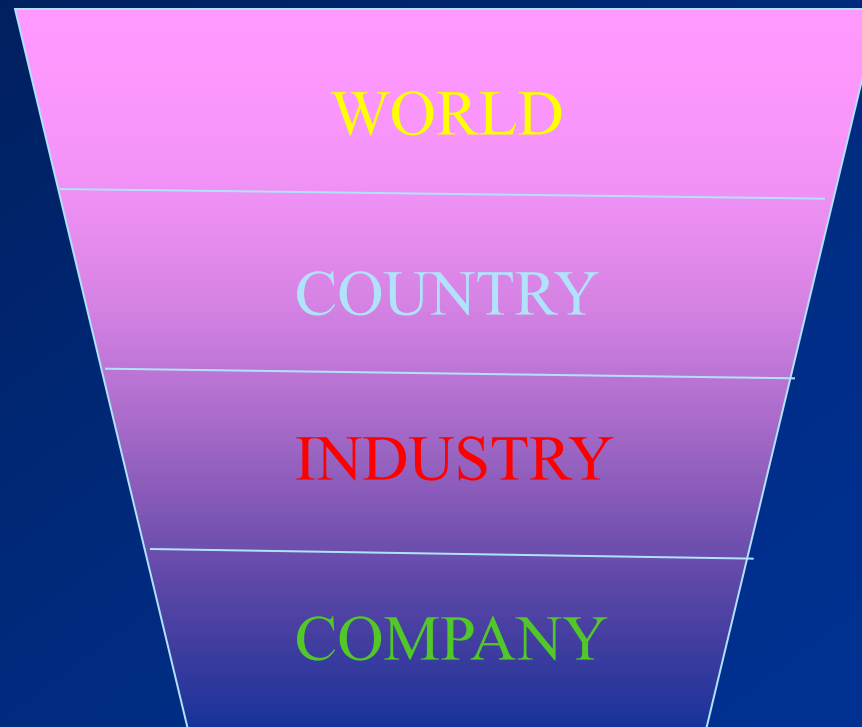
- Interdependence or inter-linkages across national boundaries
- The shift towards an economically, socially, and politically more integrated, interdependent , and interlinked world
 - Economic, social, political globalization
- Homogenization of the world
- New international order



SOURCES

- International flows of goods and services
- International flows of capital
- International movement of people/labor
- International flows of ideas, information & knowledge
- International communications
- International diffusion of government policies

UNIT OF ANALYSIS



UNIT OF ANALYSIS (continued)

● World Level (General/Macro environment)

- ◆ Economic interdependence among countries worldwide
- ◆ Increasing cross-border flows of goods/services, capital, know-how

● Country Level (General/Macro environment)

- ◆ Inter-linkages between a country's economy and the rest of the world.
- ◆ Exports & imports as a ratio of GDP.
- ◆ Inward and outward flows of FDI and portfolio investment.
- ◆ Inward and outward flows of royalty payments.

UNIT OF ANALYSIS (continued)

● Industry Level (Industry/Micro environment)

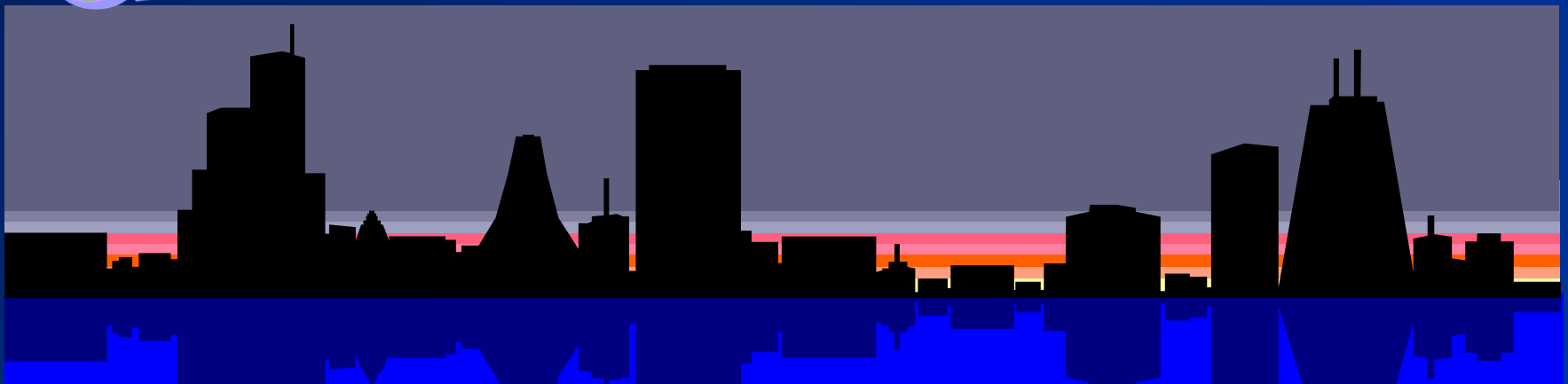
- ◆ A company's competitive position in one country is interdependent with that in other country.
- ◆ Cross-border trade within the industry/total worldwide production.
- ◆ Cross-border investment/total capital invested in the industry.

● Company Level (Company strategy)

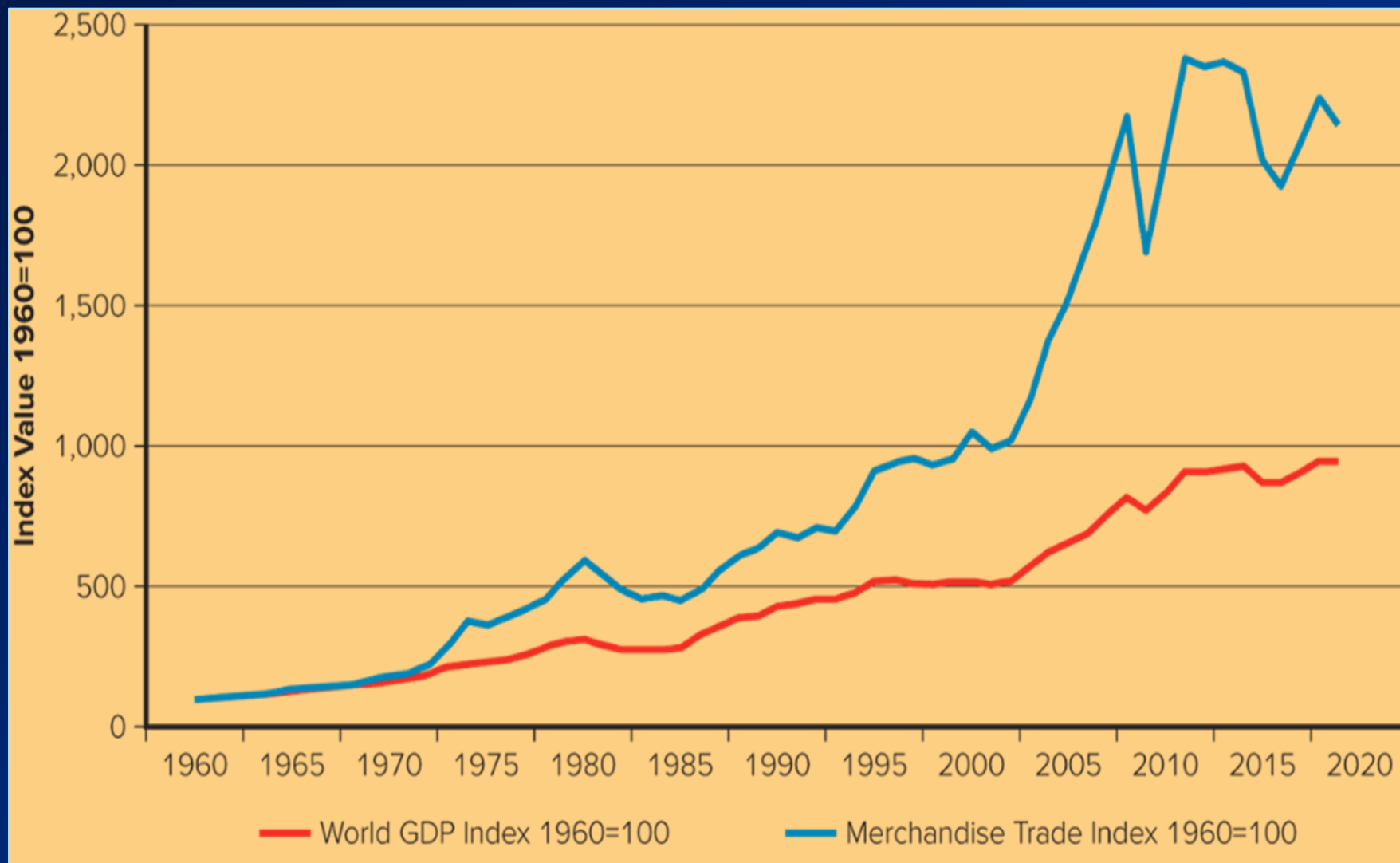
- ◆ A company has expanded its revenue and asset base across countries & engages in cross-border flows across subsidiaries
- ◆ International dispersion of sales revenues and asset base
- ◆ Cross-border trade within the industry/total worldwide production.
- ◆ Cross-border investment/total capital invested in the industry.



TREND OF GLOBALIZATION



GROWTH OF WORLD MERCHANDISE TRADE RELATIVE TO WORLD GDP



Sources: World Bank, 2020; World Trade Organization, 2020; United Nations, 2020

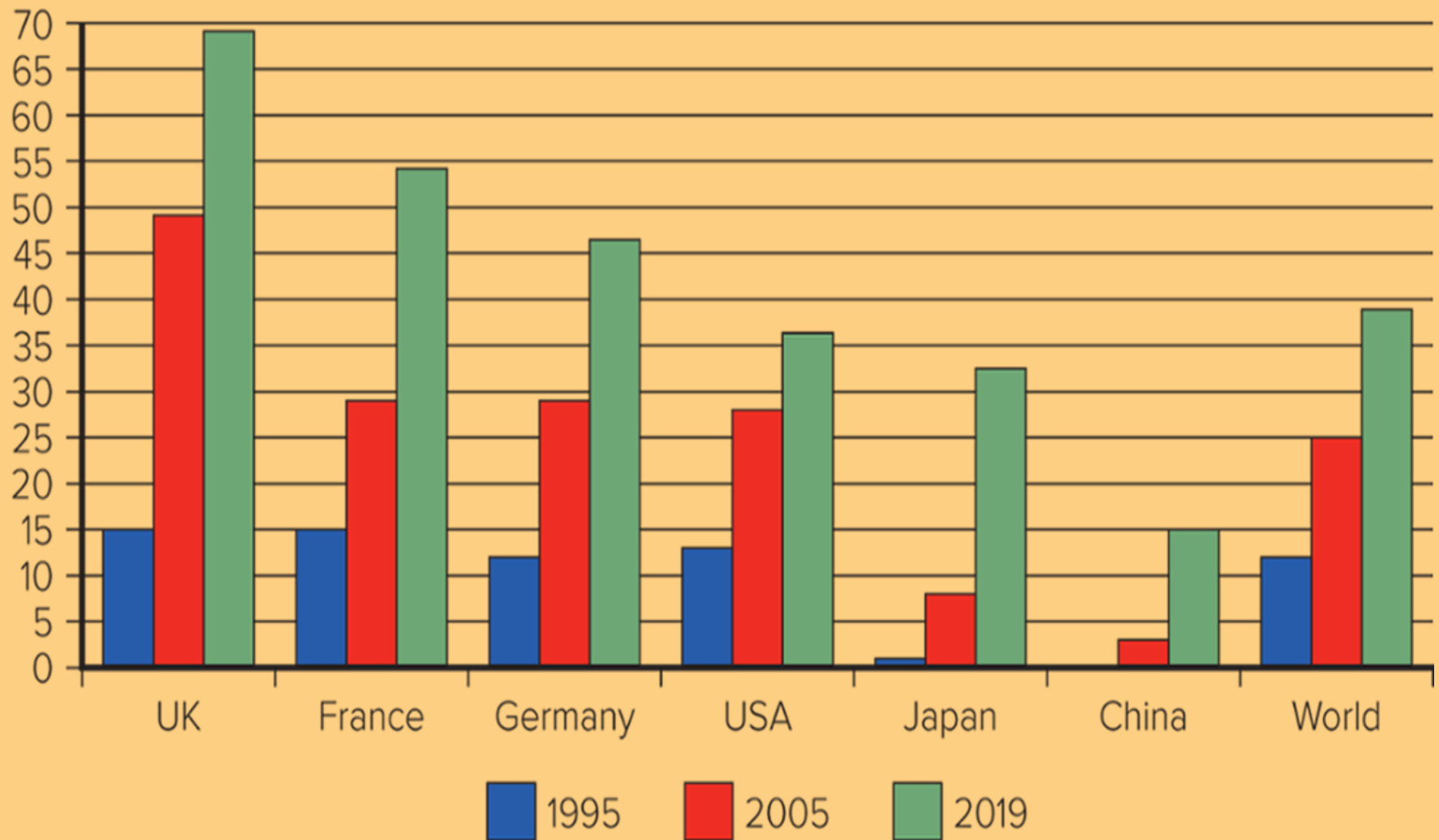
REDUCTION OF TRADE BARRIERS

Average Tariff Rates On Manufactured Products

Country	1913	1950	1990	2018
France	21 percent	18 percent	5.9 percent	3.9 percent
Germany	20	26	5.9	3.9
Italy	18	25	5.9	3.9
Japan	30	--	5.3	2.5
Netherlands	5	11	5.9	3.9
Sweden	20	9	5.9	3.9
United Kingdom	--	23	5.9	3.9
United States	44	14	5.7	3.1

Sources: The 1913 to 1990 data are from "Who Wants to Be a Giant?" The Economist: A Survey of the Multinationals, June 24, 1995, pp. 3 to 4. The 2018 data are from the World Tariff Profiles 2019, published by the World Trade Organization.

FDI OUTWARD STOCK AS A PERCENTAGE OF GDP

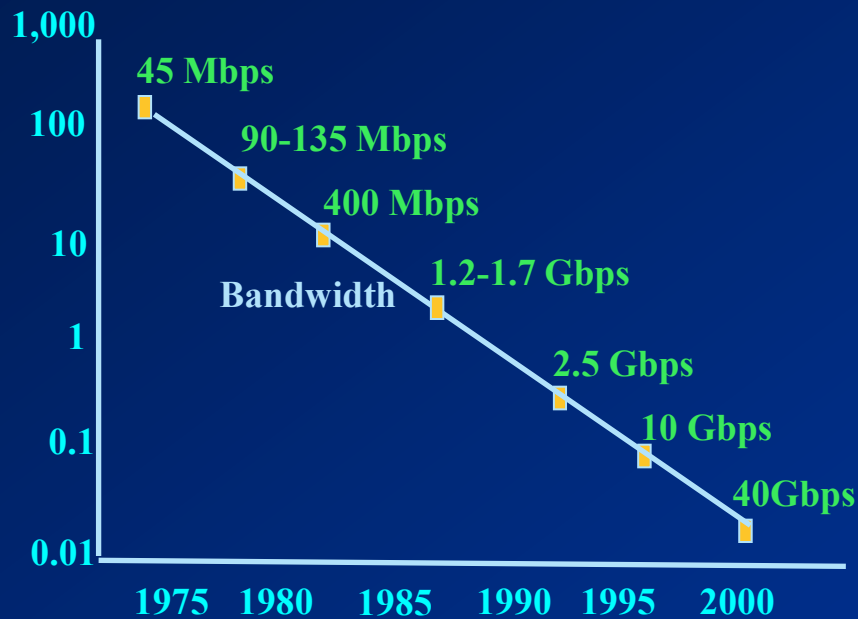


Sources: O E C D data 2020, World Development Indicators 2020, U N C T A D database, 2020

COSTS OF INFORMATION TECHNOLOGY

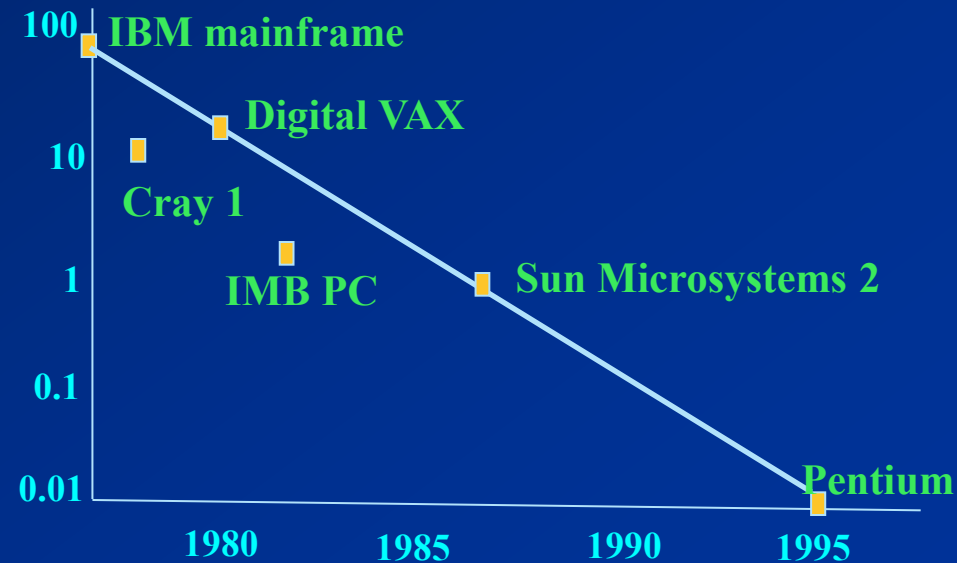
Cost Trends In Optical Fiber Transmission

Index of transmission cost
per bits per second per kilometer
(log scale)



Price Trends In Information Processing

Index of investment cost
per instruction per second
(log scale)



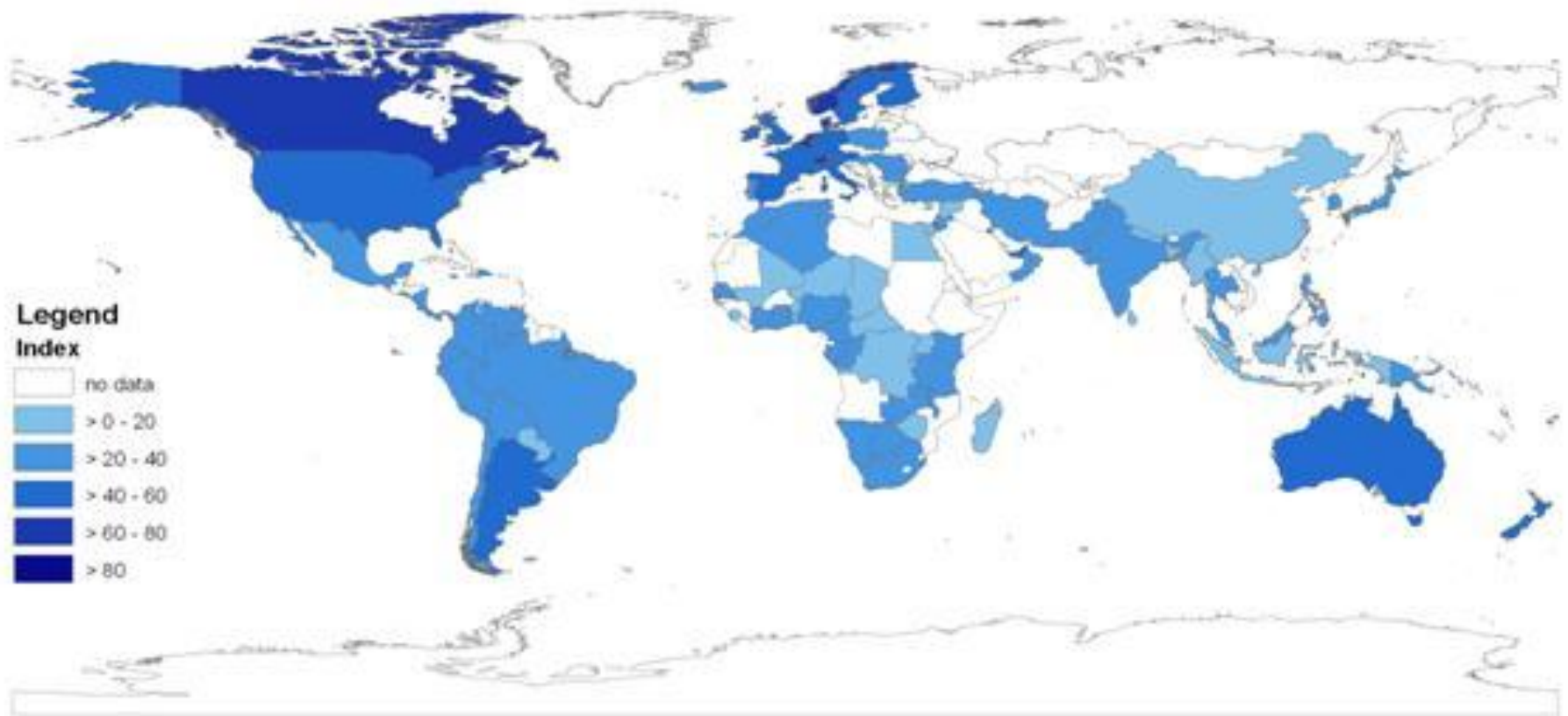
Note: Mbps is megabits per second; Gbps is gigabits per second.

Source: AT&T data

Source: World Bank compilation based on industry data

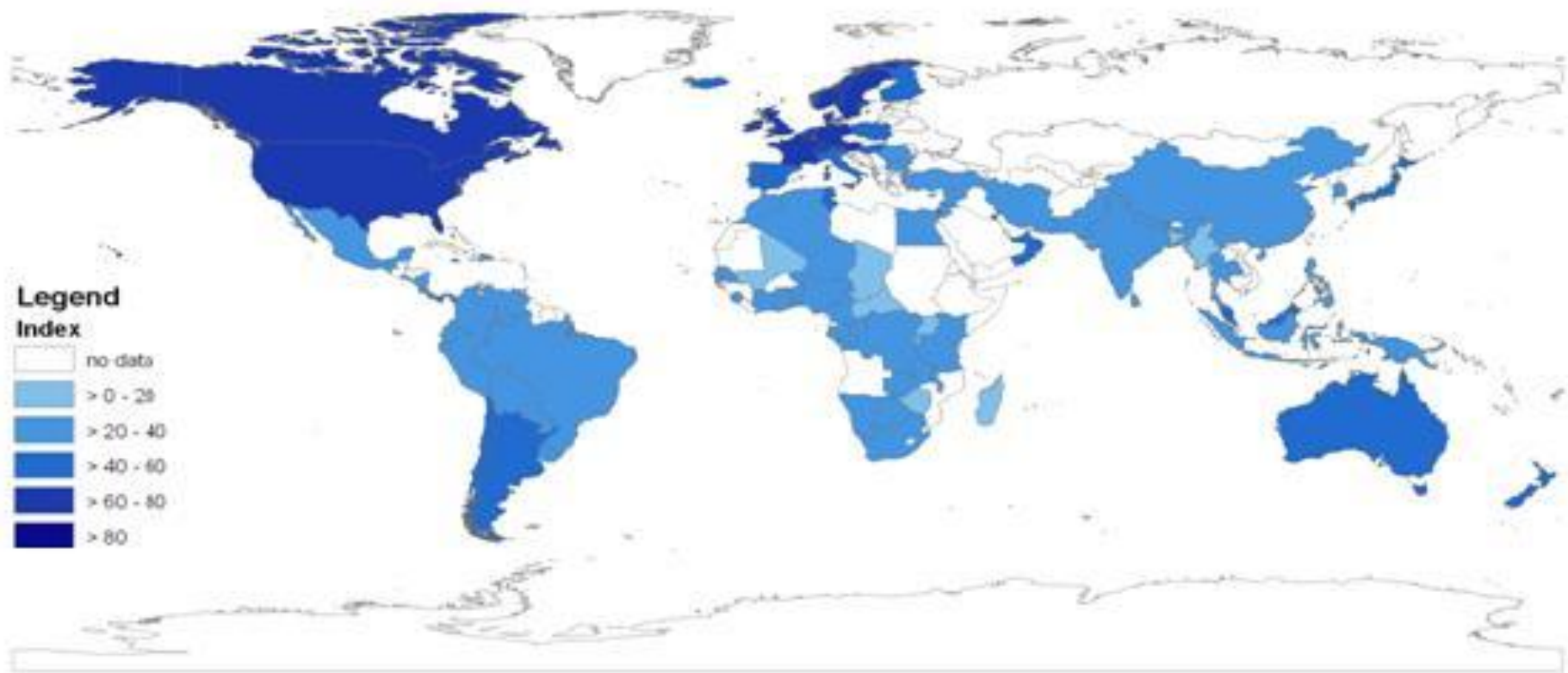
GLOBALIZATION 1970

Globalization 1970



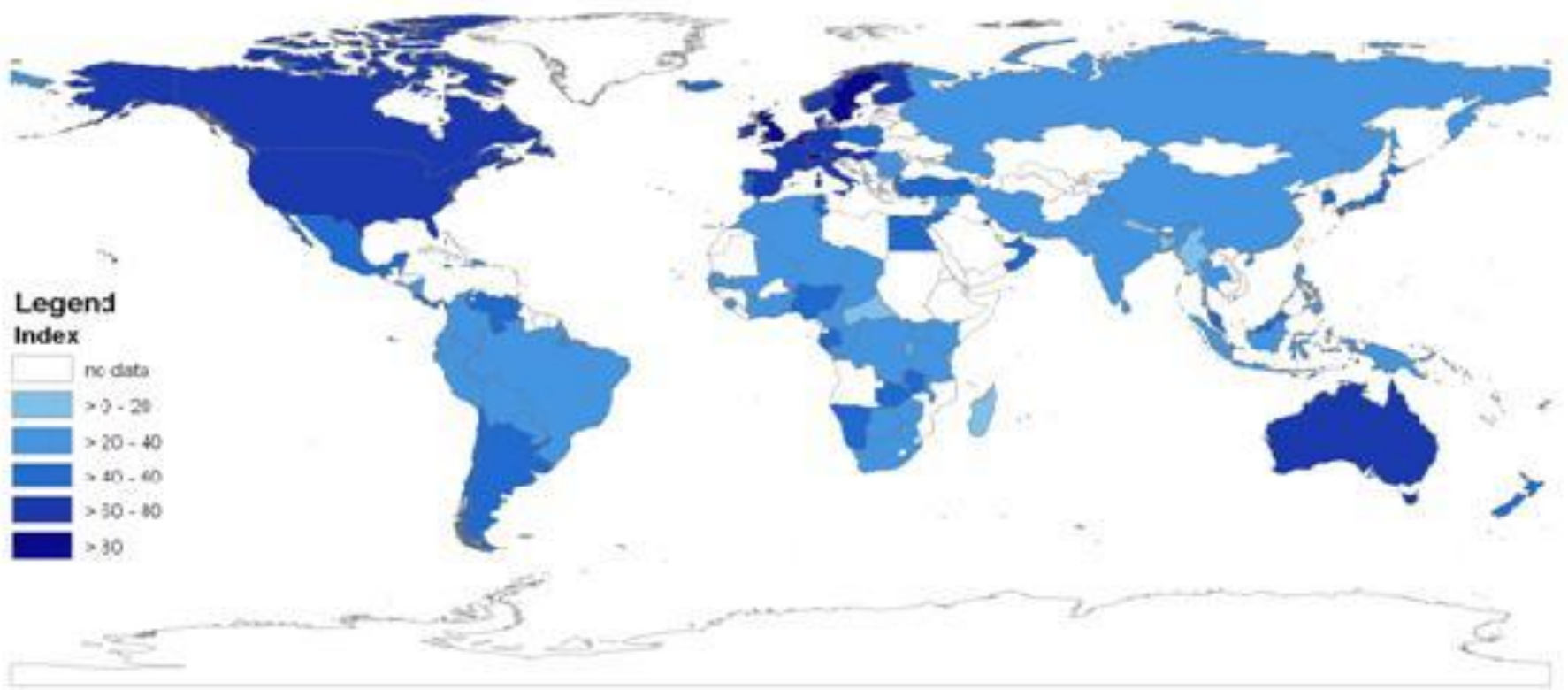
GLOBALIZATION 1980

Globalization 1980



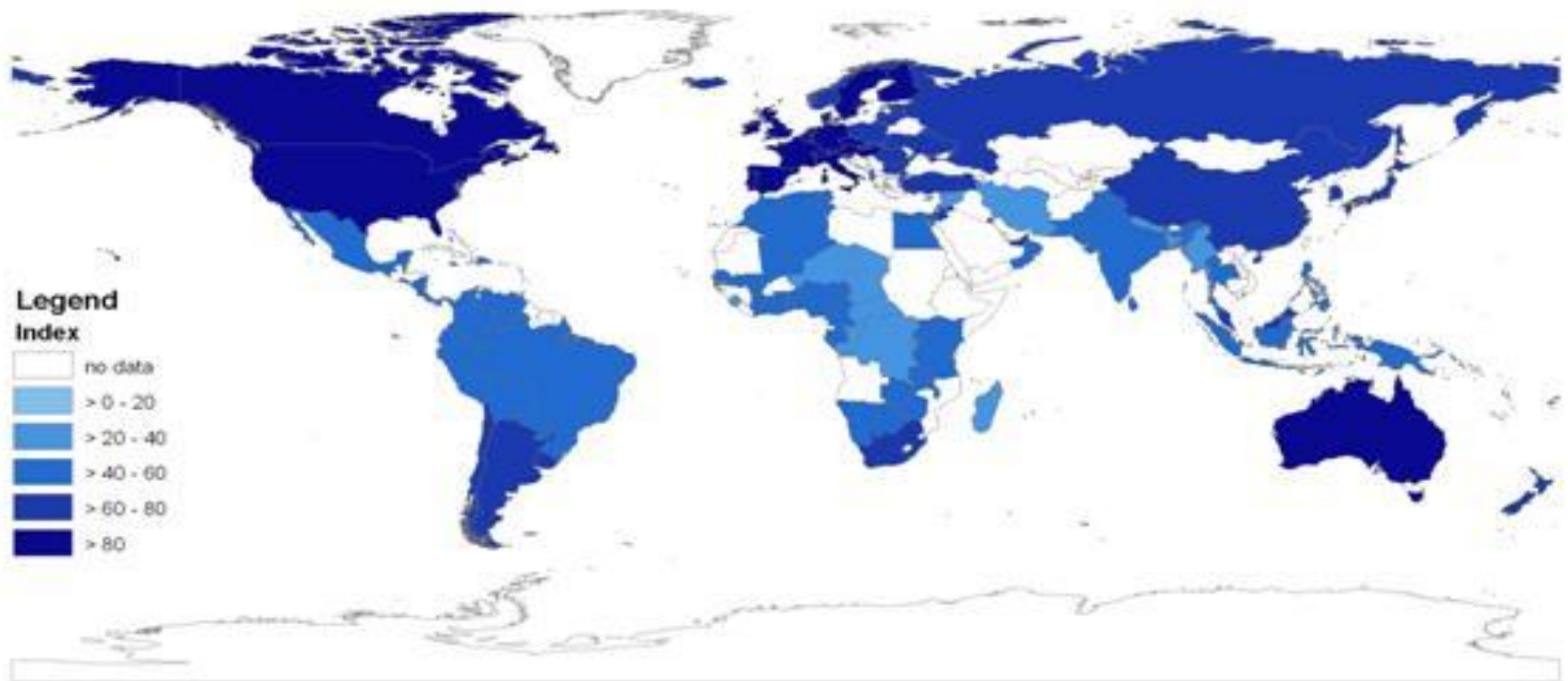
GLOBALIZATION 1990

Globalization 1990



GLOBALIZATION 2004

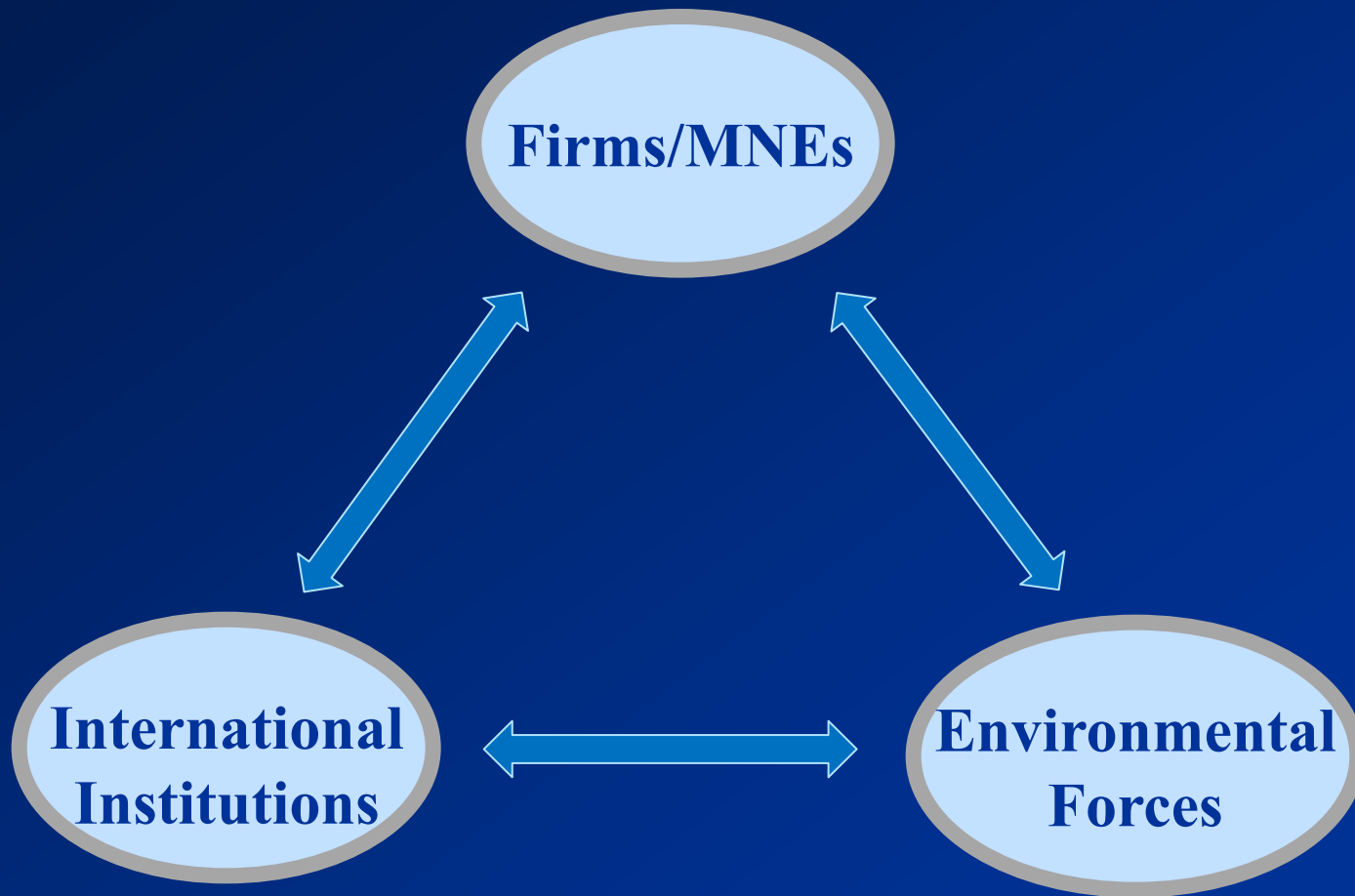
Globalization 2004



GLOBALIZATION 2030-40



DRIVING FORCES



DRIVING FORCES (continued)

International Institutions

- ◆ Eras of Globalization
 - 1st Era of Globalization (about 1850 - 1914)
 - War & Interwar Period (1915 - 1945)
 - 2nd Era of Globalization (1945 – present)
- ◆ Bretton Woods Agreement (1944) lead by USA
 - Fixed exchange rate system
- ◆ World Bank
- ◆ IMF(International Monetary Fund)
- ◆ GATT(General Agreements on Tariffs and Trade)
- ◆ WTO(World Trade Organization); G8, G20, etc.

DRIVING FORCES (continued)

Environmental Forces

- ◆ Technological – Internet, WWW, microprocessor, transportation, telecommunications, etc.
- ◆ Economic – openness, privatization, economic development
- ◆ Socio-cultural – similar tastes and preferences
- ◆ Legal/Political – reducing trade and investment barriers

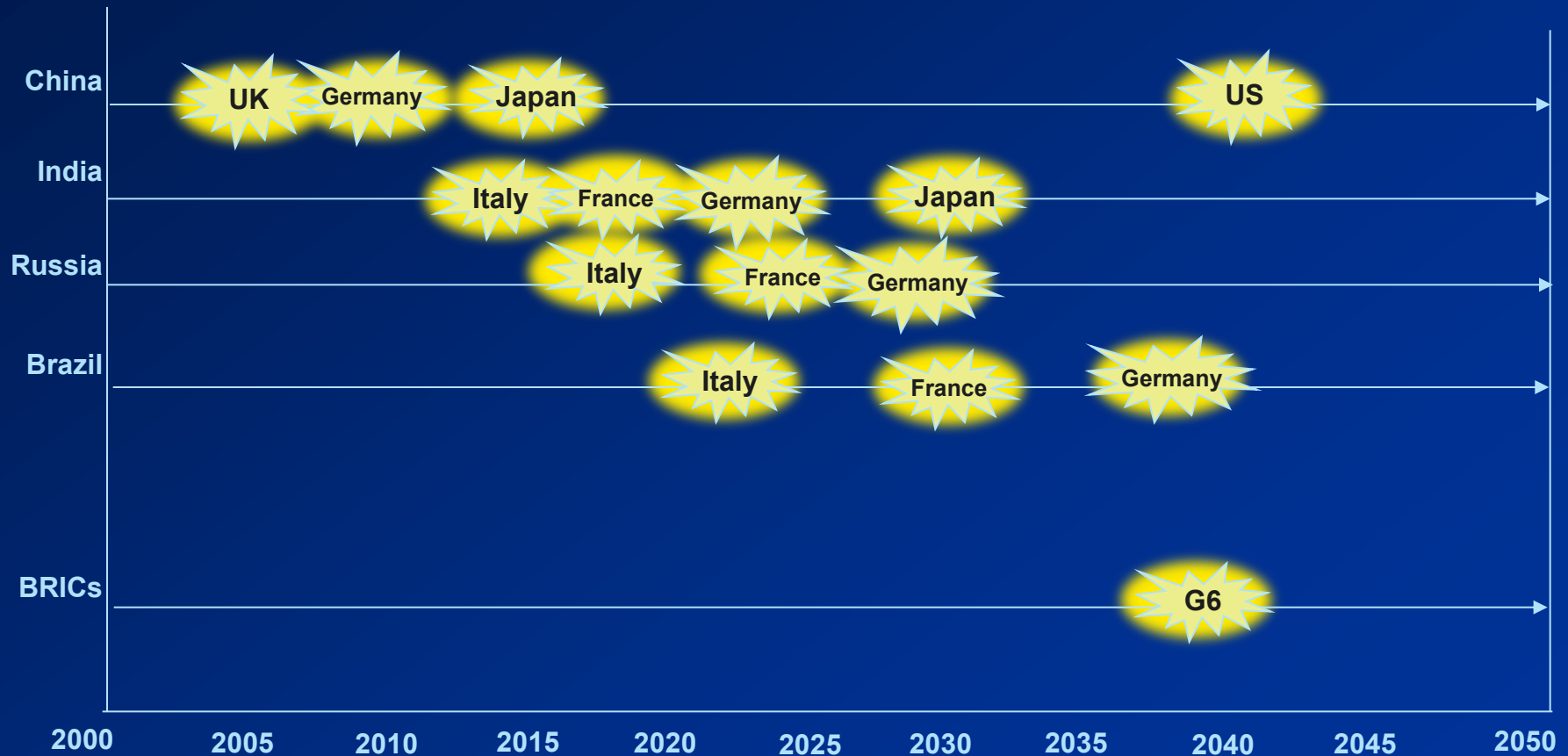
MNEs(Multinational Enterprises)

- ◆ Firms go international for markets:
 - End-products, Labor, Capital, Law materials, Technology, etc.
- ◆ Explain 70-80% of globalization
- ◆ Mostly from advanced nations

THE CHANGING ECONOMIC LANDSCAPE

BRICs vs. G6

When BRIC's US\$ GDP is Expected to Exceed the G6



Impact OF GLOBALIZATION





PROS

- Better utilization of resources – greater efficiency through international division of work
- Promotes economic development – enlarged pie, Improved quality of life
- Promotes innovation – job creation
- Free movement of people, goods, and capital
- Quick dispersion of technology and ideas

CONS

- Uneven distribution of results(enlarged pie) among countries – Income-gap polarization
- Concentration of capital and power (MNEs)
 - Weaker countries and firms cannot successfully compete
- Local economic crises strike the whole world
- Quick dispersion of diseases and others
- Economic neocolonialism (risk of exploitation)
 - Human rights, environment, etc.



CONTRIBUTIONS

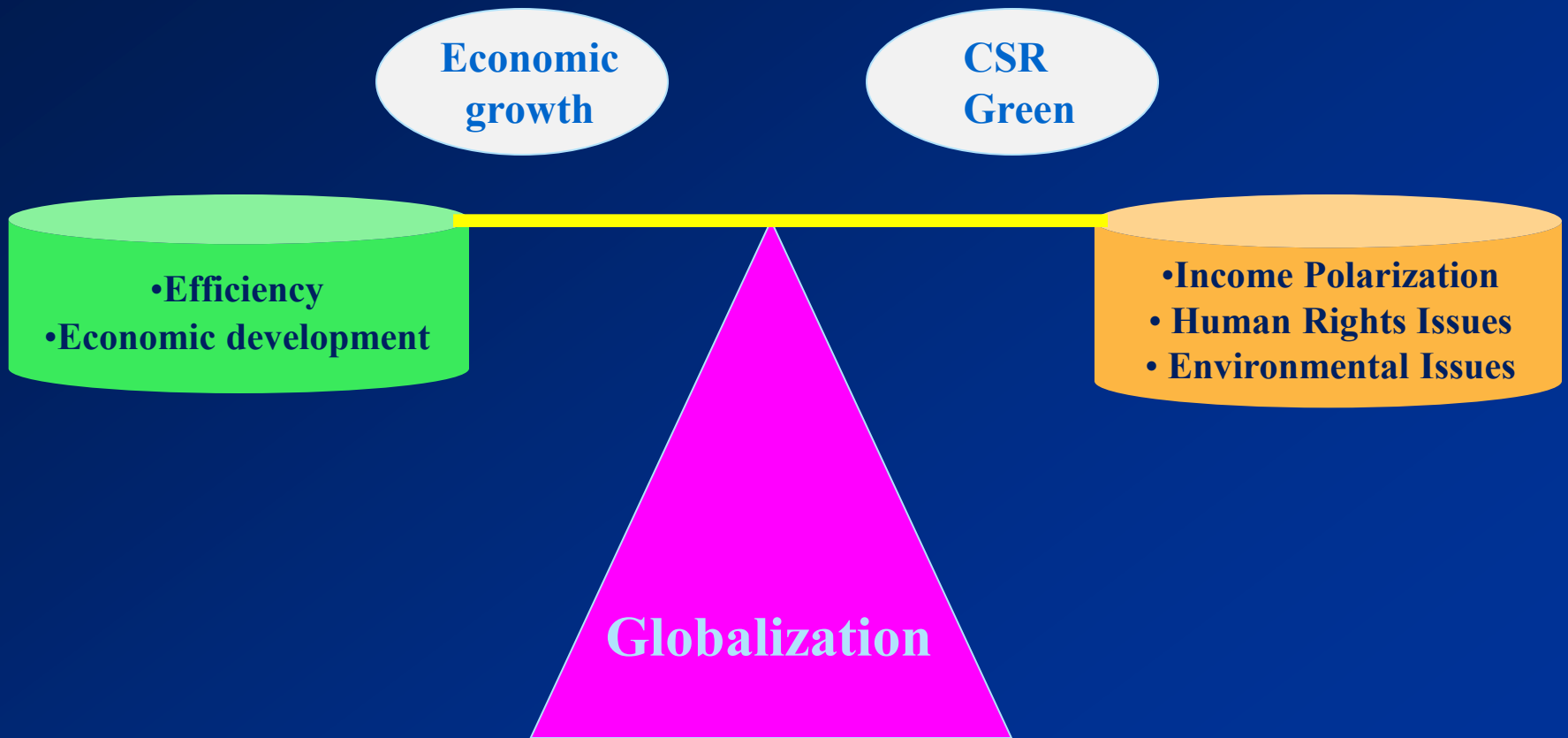
- Most nations gained political independence
- Economic improvement:
 - GDP/capita: \$1800 in 1975, \$6400 in 2000
 - % of people living below \$1/day has halved since 1981
- Life expectancy above 60 even for males
- Adult literacy near 75% even for females



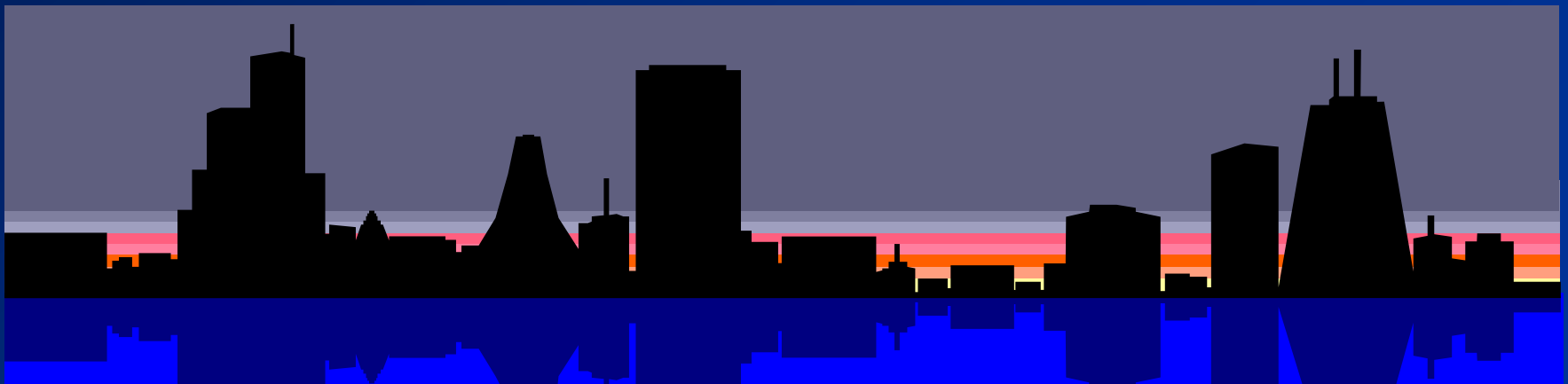
PROBLEMS

- Imbalance of power between leading and following countries - unfair
- Exploitative arrangement: leading countries establishing the rules and others expected to follow
- Balance of power: tilted from labor to corporate management
- Wealth: skewed in favor of a few countries in the world

BALANCING PROS AND CONS FOR SUSTAINABILITY



IMPLICATIONS and CONCLUSIONS





GENERAL IMPLICATIONS

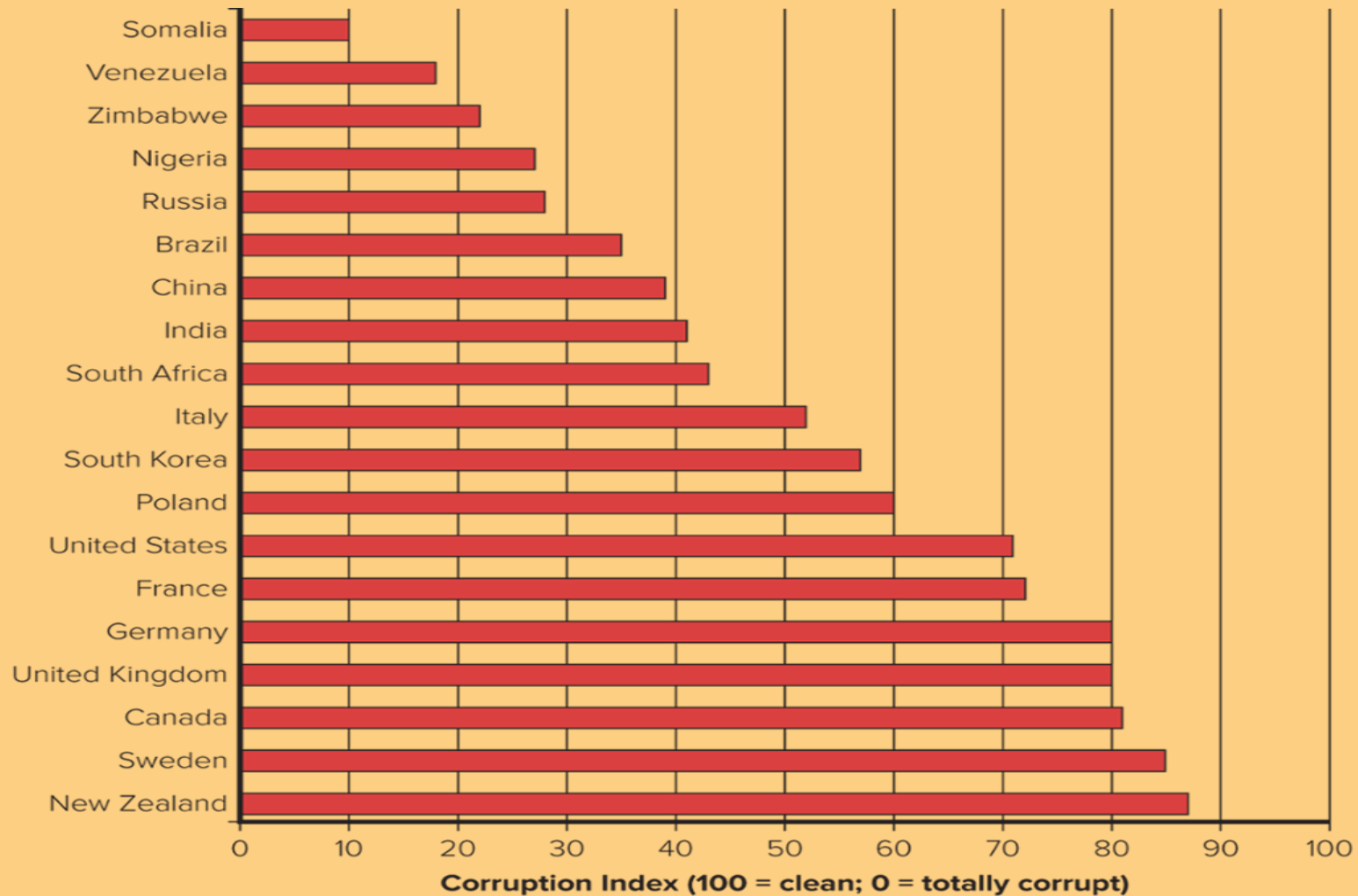
- Globalization has both positive and negative sides, but it has net gains.
- We need to expand the positive side while addressing the negative side of globalization.
- Any country with economic power is likely to push the idea of globalization.
- The leading countries are likely to gain from globalization more than the following countries.
- Globalization is a general trend.



IMPLICATIONS FOR OUR GOVERNMENT

- Pursue globalization to the extent possible.
- But remember that there are winners and losers of globalization in our society as the structure of our industries changes.
- Pay attention to the losers; prepare a safety net for the losers.
- Deal with uneven income distribution – income polarization.
- Follow global standard in terms of laws and ethics – corruption.
- Build the infrastructure amenable to globalization – language, schools, other systems

Rankings of Corruption by Country in 2019



Sources: Transparency International, "Global Corruption Report, 2019"



IMPLICATIONS FOR OUR BUSINESSES

- Have a global perspective in business management
- Tap the most optimal locations for activities and resources
- Exploit economies of global scale, scope, and learning
- Adapt to local market differences
- Create global competitive advantage
- Pay attention to corporate social responsibilities and green issues



IMPLICATIONS FOR US INDIVIDUALS

- Have a global perspective on issues
- Be a sound global citizen:
 - with a global ethical standard
 - with global language fluency
 - with open mind
- Make yourself more competitive in a global job market
 - Remember that ‘the winner takes it all’ in a globalized world.
 - Remember that your competitors are not geographically bounded.
- Value/respect domestic cultures as well as foreign cultures.



CONCLUSIONS

- Globalization is a positive sum game. It increases the pie, but the issue is who gets what.
- The government, companies, and individuals need to take advantage of globalization and address the problems(e.g., unfairness, human rights, environment, etc) of globalization to sustain it.
- Globalization provides both opportunities and threats to the government, companies, and individuals.
- If globalization is something we cannot avoid, we'd better enjoy it.